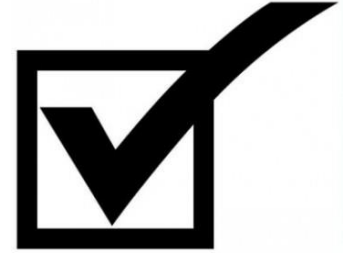


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



ADVANCED ACCOUNTING (110)

STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Account Identification (10 @ 3 points each) _____ (30 points)

Short Answer (15 @ 3 points each) _____ (45 points)

Job 1: Depreciation _____ (48 points)

Job 2: Net Income Effects _____ (50 points)

TOTAL POINTS _____ ***(223 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 2 points each; 50 points total

1.	D	16.	A
2.	A	17.	D
3.	C	18.	B
4.	D	19.	D
5.	B	20.	C
6.	C	21.	B
7.	B	22.	B
8.	A	23.	A
9.	D	24.	D
10.	C	25.	D
11.	A		
12.	D		
13.	A		
14.	D		
15.	C		

Account Identification – 30 points total; 1 point each

Account Name	Classification (A, L, SE, R, CM, E)	Financial Statement (IS, SOSE, BS, None)	Normal Balance (Dr, Cr, None)
Unearned Fees	L	BS	Cr
Goodwill	A	BS	Dr
Income Summary	SE	None	None
Sales Discount	R	IS	Dr
Dividends Payable	L	BS	Cr
Paid-in Capital in Excess of Par- Pre	SE	BS and SOSE	Cr
Wages Expense	E	IS	Dr
Dividends – Common	SE	SOSE (also accept SOSE and BS)	Dr
Treasury Stock	SE	SOSE and BS	Dr
Prepaid Rent	A	BS	Dr

Short Answer Problems – 45 total points each; 3 points each

1. a. 40,000
 b. 20,000
 c. \$0.20

2. a. 1,406.30
 b. 1,293.95
 c. 1,352.42 or 1,352.48

3. Inventory Turnover Ratio 8.9 or 8.88 7.0 or 6.97
 Average # of Day 41 52

4. Debit Sarah Ashburn, Capital 36,050 Credit Cash 68,815
 Debit Shannon Mullins, Capital 32,765

5. a. 67,335
 b. 57,335

Problem 1 – Depreciation – 48 total points; 2 points per answer

Depreciation Method	Straight-Line	Declining Balance	Production Units
2024 Depreciation	<u>200,000</u>	<u>480,000</u>	<u>177,200</u>
2024 Ending Book Value	<u>1,000,000</u>	<u>720,000</u>	<u>1,022,800</u>
2025 Depreciation	<u>200,000</u>	<u>288,000</u>	<u>221,600</u>
2025 Ending Book Value	<u>800,000</u>	<u>432,000</u>	<u>801,200</u>
2026 Depreciation	<u>200,000</u>	<u>172,800</u>	<u>234,700</u>
2026 Ending Book Value	<u>600,000</u>	<u>259,200</u>	<u>566,500</u>

Straight-line – Gain or Loss? Loss Amount? 50,000

Double-Declining Balance – Gain or Loss? Gain Amount? 266,720

Production Units – Gain or Loss? Loss Amount? 19,700

Job 2 – Effects on the Income Statement – 50 total points; 1 point per answer

Transaction Number	Effect on Net Income Increase, Decrease, None	Amount of Effect
1	Decrease	200
2	Increase	735
3	Decrease	41.42
4	Increase	1,741
5	None	0
6	None	0
7	Decrease	3,500
8	Decrease	3,000
9	Increase	255
10	None	0
11	Decrease	10.80
12	None	0
13	None	0
14	None	0
15	Increase	800
16	Decrease	400
17	None	0
18	Increase	2,100
19	Increase	11.64
20	None	0
21	None	0
22	Decrease	540
23	Decrease	20
24	None	0
25	Decrease	490